

TENTATIVE RULING:

Parties to participate in settlement conference as ordered.

Law & Motion

8. 9:00 AM CASE NUMBER: C24-00664

CASE NAME: COUNG CHAU VS. RONALD FONG

***HEARING ON MOTION IN RE: LEAVE TO FILE FIRST AMENDED CROSS-COMPLAINT**

FILED BY: FONG, RONALD A

TENTATIVE RULING:

Before the Court is Defendants and Cross-Complainants Ronald A. Fong and Tyler Fong individually and dba Next Level Motors, Inc. (collectively, "Cross-Complainants")'s motion for leave to file a first amended cross-complaint. The Motion is opposed by Plaintiff and Cross-Defendant Cuong Vi Chau and Bill Truong (collectively, "Cross-Defendants").

Cross-Defendants seek to amend their Cross-Complaint to include additional allegations, update the damage calculations, and convert the first cause of action from breach of an oral contract to breach of an implied contract.

For the following reasons, the motion is **granted**.

Cross-Defendants are ordered to separately file the First Amended Cross Complaint with the Court by September 21, 2026.

Legal Standard

The court may, in its discretion, in the furtherance of justice "allow, upon any terms as may be just, an amendment to any pleading or proceeding[.]" (Code Civ. Proc., § 473(a)(1); see also Code Civ. Proc. § 576 [stating that "[a]ny judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading"].) The court's discretion should be "exercised liberally in favor of amendments, for judicial policy favors resolution of all disputed matters in the same lawsuit." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1047.) It is "an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment," even if the amendment was the result of an unreasonably delayed filing. (*Id.* at 1048.)

Under California Rules of Court Rule 3.1324(a), a motion to amend a pleading shall (1) include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located.

Under California Rule of Court Rule 3.1324(b), a separate declaration must accompany the motion and

must specify (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier.

Analysis

Rule 3.1324(b)

As a threshold issue, Cross-Defendants argue that Cross-Complainant's supporting declaration does not satisfy the requirements of California Rule of Court 3.1324(b). Specifically, that the declaration does not state when the facts giving rise to the amended allegations were discovered and why the amendment was not requested earlier with respect to the issues of contract formation that were originally pleaded.

The Court has reviewed the Supplemental Declaration of Lubna Jahangiri and finds that it substantially meets the requirements of California Rule of Court 3.1324(b). The Court declines to deny the motion on this ground.

Contradictory Allegations

Plaintiffs argue that the Court should deny the proposed amendment "because it is intended to contradict clear admissions previously made in the Defendants/Cross-Complainants' own pleadings." (Opp. at 10:1-2.) Plaintiffs argue that several of the proposed revisions, including the change from alleging an oral contract to an implied contract, are wholly inconsistent with prior allegations.

Where the amended complaint omits facts alleged in a prior complaint, or pleads facts inconsistent with a prior complaint, any inconsistency must be explained, otherwise the court will read into the amended complaint such omitted or inconsistent facts. (*Vallejo Development Co. v. Beck Development Co.* (1994) 24 Cal.App.4th 929, 946; *Owens v. Kings Supermarket* (1988) 198 Cal.App.3d 379, 383-384 (*Owens*) [prior self-destructive allegations in an earlier pleading are read into a later pleading, and the allegations inconsistent therewith are treated as sham and disregarded].) "The purpose of the [sham pleading] doctrine is to enable the courts to prevent an abuse of process. [Citation.] The doctrine is not intended to prevent honest complainants from correcting erroneous allegations or to prevent the correction of ambiguous facts." (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 751; see also *Tognazzi v. Wilhelm* (1936) 6 Cal.2d 123, 127.) The effect of earlier admissions can be avoided by including in the subsequent complaint an explanation why the earlier admissions are incorrect. (*Owens*, at p. 384.) Despite concerns about sham pleadings, the Supreme Court has also "made it clear that 'a party should be allowed to correct a pleading by omitting an allegation which, it appears, was made as the result of mistake or inadvertence.'" (*Reichert v. General Ins. Co.* (1968) 68 Cal.2d 822, 836; see also *Hahn*, at p. 751 [amended complaint was not a sham pleading, despite omission of alternate factual allegation contained in previous complaint].) The requirement that the explanation for inconsistency be merely "plausible" is consistent with the standard by which all pleadings are judged: that is, that courts "must assume the truth of the complaint's properly pleaded or implied factual allegations. [Citation.]" (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.)

Compare *Deveny v. Entropin* (2006) 139 Cal.App.4th 408 (*Deveny*) with *Owens v. Kings Supermarket*, *supra*, 198 Cal.App.3d 379. In *Owens*, the plaintiff asserted a personal injury claim against defendant market, claiming the market controlled the street where the injury occurred. The market demurred, contending the street was controlled by the city, and plaintiff's amended complaint asserted that the accident occurred on the market's premises. *Owens* held that the subsequent allegation could be disregarded as a sham because plaintiff provided no explanation for the change in factual allegations.

(*Id.* at p. 384.) In *Deveny*, the class plaintiffs asserted the defendant drug company failed to disclose adverse test results. In the original complaint, plaintiffs alleged that “[d]efendants withheld scientific and clinical knowledge that Esterom was not detected in the blood or urine of patients’ and that ‘[w]hen Plaintiffs discovered that Entropin had omitted to disclose material information concerning the absorption of Esterom, Plaintiffs contacted counsel and began an investigation.’” (*Id.* at p. 423.) After the defendant’s motion for summary judgment on statute of limitations grounds based on the existence of publicly available information on its website regarding the outcome of the blood and urine tests, the plaintiffs amended their complaint, alleging that the information on the website, while accurate, “did not provide plaintiffs or other investors with any reason to believe that Esterom was not absorbed or was not effective,” and was thus insufficient to trigger the statute of limitations. (*Id.* at p. 417.) The drug company asserted the sham pleading doctrine, contending the plaintiffs’ change in theory of liability from “you didn’t tell us about the tests,” to “okay, you did tell us about the tests, but you didn’t explain their significance” was an instance of sham pleading. The *Deveny* court noted that plaintiff” counsel had offered an explanation for the change, namely, that while he had initially been unaware of information that was publicly available, after speaking with experts, he realized the data provided on defendant’s website was simply insufficient to put potential investors on notice of the drug’s problems. Thus, *Deveny* concluded this effort was sufficient to avoid the sham pleading doctrine, stating that “the sham pleading doctrine does not apply because [plaintiff’s counsel] offered a plausible explanation for the amendment, i.e., that he had erred in relying on the failure to disclose the blood and urine data as the basis for the complaint because further discovery and consultation with experts had shown that such data was inconclusive.” (*Id.* at p. 426.)

Here, the Court cannot conclude that the changes in Cross-Defendants’ theory of the case, and the facts supporting it, are necessarily contradictory and therefore governed by the sham pleading rule. Counsel for Cross-Defendant has explained that new facts were discovered during written discovery (Jahangiri Decl. at ¶ 4) and that the “[e]vidence does not support formation of an oral contract.” (*Id.* at ¶ 9.) Furthermore, it does not appear to the Court that the different allegations from the original Cross-Complaint to the Amended Cross-Complaint are an attempt to change the facts, as the plaintiff did in *Owens*. Instead, it appears that Cross-Complainants have refocused their allegations on a different subset of facts. As a consequence, the Court declines to deny the motion on this ground.

Conditions on Amendment

Finally, Cross-Defendants argue that if the Court grants the full amendment, it be conditioned on several terms. This request is not supported by statutory or other authority. The Court declines to condition the grant of this motion on the terms proposed by Cross-Defendants.

9. 9:00 AM CASE NUMBER: C24-01627

CASE NAME: KIMBERLY MENJIVAR VS. GENERAL MOTORS LLC

***HEARING ON MOTION IN RE: AWARD OF ATTORNEYS' FEES, COSTS, AND EXPENSES**

FILED BY: MENJIVAR, KIMBERLY

TENTATIVE RULING:

Before the Court is Plaintiff Kimberly Menjivar’s Motion for Attorneys’ Fees, Costs, and Expenses against Defendant General Motors, LLC. GM opposes the granting of fees and costs.

This is a Song-Beverly Consumer Warranty Act (lemon law) case. The case resolved when Menjivar